

Blockchain / Crypto

Context, trends, and ideas for investing in the space

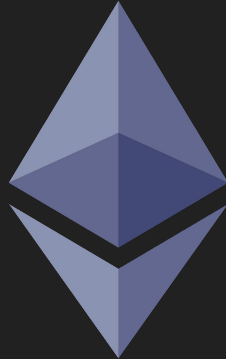
Intro

Hi, I'm Deep

- Technical PM / Startup Operator at Protocol Labs
- Previously PM @ Microsoft Azure
- Crypto-skeptic -> crypto-slightly-less-skeptic
- Why this space is exciting
 - Scale - datacenter -> planet
 - Access / democratization of tech, resources, \$, etc.
 - Open source / open development / community governance
- Challenges I'm interested in seeing the outcome of
 - Regulation
 - Access - usability, education
 - New wealth generation -> potential for greater equality, but what about greater equity?

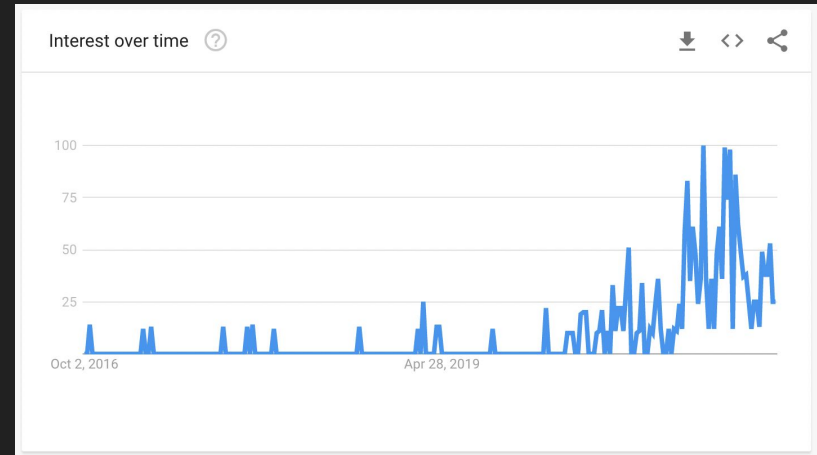
Blockchain and Crypto

- P2P, trustless distributed systems
- Cryptographic proofs offer unbiased verifiability / transparency
- Cryptoeconomic incentives to map desirable outcomes : rational decisions



DeFI

- Decentralized Finance
- Removes reliance on today's "finance building blocks" - central banks, banks, brokerages, exchanges, etc.
- Significant excitement in the last < 18mo
- Recreating/disruption financial systems
 - Guatemala - BTC as legal tender
 - Decentralized lending platform



Coins vs Utility tokens

Coins

- “Currency”
- Token is a store of value
- BTC, DOGE, etc.

Utility tokens

- Right to transact for a specific type of good or service
- “Means of payment”
- ETH, FIL, etc.

NFTs

- Non-fungible assets (unlike wallets holding coins)
- Combination of cryptographic assets + metadata

Layering Protocols

Layer 1

- Underlying main blockchain architecture
- Novel and useful cryptographic proofs and primitives
- Building blocks for more specific solutions and services
- Not necessarily as “scalable” for granular metrics, more “scalable” for higher-level metrics
- Blockchains like Bitcoin, Ethereum, Filecoin, etc.
- Unlikely that there will be a large amount of well adopted L1 protocols - they aim to solve common needs / problem areas (map to Cloud Infra)

Layering Protocols

Layer 2

Enable faster, cheaper transactions without interfering / congesting main network

- State channels
 - 2-way channel off of the main blockchain which is brought back to the main chain at resolution
- Sidechains
 - Smaller chains running off of the main blockchain and its constructs
 - Each participant in the sidechain still shares consensus / state
 - Sidechain metadata / constructs / outputs may be used to interact on the main chain
- Rollups
 - Sequence of usually coordinated off-chain transactions or state chains that are “rolled up” into fewer (often 1) on-chain transaction

Some trends

- NFTs (Non Fungible Tokens)
 - Art, digital goods, rights to participation, proof of participation, collectibles, etc.
 - Transition to representation of real world assets on-chain
- DAOs (Decentralized Autonomous Organizations) “internet-based companies”
- DeFi
 - Often mirroring real-life financial systems/structures in a Web3/blockchain native way
 - DEX - decentralized exchanges
 - Governance tokens (DEX, lending platforms, etc.)
- Layer 1/2 protocols
- Multichain solutions
- Arbitrage
 - Safer returns without betting on crypto beta / alpha
 - Alameda Research (10% ROI DoD for several months)
- Off-blockchain Infrastructure
 - Wallets, custodians, exchanges, etc.

Some interesting hurdles / challenges

- Regulation
 - Taxation
 - Policy and adoption
 - USA
 - China
 - EU
 - Regulations around mining operations
- Cybercrime / risk mitigation and cybersecurity
- Improvements to hardware (physical and networking, i.e., GPUs, 5G)
- Education
- Consolidation

Q&A / Discussion

Thanks for listening!

Reach me at:

- connect@deepkkapur.com
- @deepkkapur on Twitter
- Find me on LinkedIn